

HSIE Results Daily

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- Sobha:** Sobha Ltd (SDL) reported a strong quarterly presales growth in Q1FY26 at INR 20.7bn (+10.9%/+32.9% QoQ/YoY), mainly backed by its new launches. For FY26, SDL has guided a presales target of INR 100bn, which will be aided by new launches (40% in NCR itself). On operational front, due to Karnataka government-related changes on fee calculation, five of the project OCs were delayed, which led to a margin impact. This will eventually flow through in Q2FY26 and hence we anticipate strong recovery in Q2FY26, with sequential margin improvement expected in each subsequent quarter. On the growth front, SDL aims to launch 8msf in the rest of 9MFY26, with key projects across Gurgaon, Greater Noida, Pune, Chennai, Kerala, and Mumbai. Demand remains stable across major markets like Bengaluru, Kerala, and Gurgaon. Notably, the Greater Noida launch saw an 80% sell-through, with INR 8.30bn in sale value, reflecting strong market sentiment amidst limited supply. SDL is actively exploring both government and private land acquisition opportunities to expand its presence in Noida-Greater Noida. SDL has laid out plans to expand in the MMR market from FY26, ramp up its presence in Pune and NCR and consolidate in Bengaluru. Given the robust launch pipeline, strong balance sheet, and stable cashflows, we maintain BUY on SDL with TP of INR 2,459/sh.

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Kotak Mahindra Bank

Margin strain and credit risk to test growth ambitions

Kotak Mahindra Bank's (KMB) Q1FY26 earnings missed estimates on the back of higher-than-expected NIM compression and elevated credit costs emerging from unsecured and retail CV segments. Healthy loan growth (+14% YoY/+4% QoQ) was driven by secured businesses. Deposit growth (+14% YoY/+2% QoQ) hugged loan growth, as CASA ratio clocked in at 40.9% (-209bps QoQ) on the back of de-growth in floating SA balances and continued traction in TD sweeps (+22% YoY). The management has guided for stress in the MFI segment to have peaked out, and the stress in CC and PL portfolios to have stabilized. KMB remains keen on scaling its unsecured business mix to mid-teens (Q1FY26: 10% of loans), calling for sustained investments. We cut our FY26E/FY27E estimates by ~3%/1%, factoring in elevated opex and credit costs. We maintain BUY with a revised SOTP-based TP of INR2,310 (standalone bank at 2.3x Mar-27 ABVPS).

- **Softer margin traction partly offset by healthy credit growth:** Loan growth (14%+ YoY) was healthy compared to peers, driven by mortgage (+19% YoY), consumer banking (18% YoY) and wholesale banking (13%). De-growth in the MFI and PL segment continued owing to elevated stress, while growth in the CC portfolio shall take time to kick in, given KMB's strategy revamp post the lifting of the embargo. NIMs contracted to 4.7% (-25bps QoQ) on the back of rate transmission and shift in mix from de-growth in the unsecured book.
- **Stress remains elevated in high-risk segments:** KMB witnessed deterioration in asset quality, with gross slippages (1.7%) and credit costs (93bps) rising owing to elevated stress in the MFI portfolio and retail CV segments, even as the stress in PL and CC segments plateaued. We build in credit costs at 70-75bps each for FY26-27E, factoring in the high-risk segments.
- **Sustaining risk-adjusted returns essential on growth treadmill:** We believe that KMB faces a tough trade-off in balancing growth, NIMs, and asset quality, especially the quality of its incremental sourcing in unsecured businesses, to protect its superior RoAs.

Financial summary (Standalone)

(INR bn)	Q1FY26	Q1FY25	YoY (%)	Q4FY25	QoQ (%)	FY25	FY26E	FY27E
NII	72.6	68.4	6.1%	72.8	-0.3%	283.4	317.0	378.4
PPOP	55.6	52.5	5.9%	54.7	1.7%	210.1	235.8	278.0
#PAT	32.8	62.5	-47.5%	35.5	-7.6%	164.5	151.7	177.6
EPS (INR)	16.5	31.4	-47.5%	17.9	-7.6%	82.7	76.3	89.4
ROAE (%)						15.4	12.2	12.6
ROAA (%)						2.5	2.0	2.1
ABVPS (INR)						566.1	638.6	723.1
P/ABV (x)						3.7	3.3	2.9
P/E (x)						25.6	27.8	23.7

#FY25/Q1FY25 PAT includes gains from KGI divestment amounting to INR27.3 bn

Change in estimates

(INR bn)	FY26E			FY27E		
	New	Old	Δ	New	Old	Δ
Net advances	4,909	4,920	-0.2%	5,718	5,702	-0.3%
NIM (%)	4.7	4.7	1 bps	4.8	4.9	13 bps
NII	317.0	317.7	-0.2%	371.0	378.4	2.0%
PPOP	235.8	241.4	-2.3%	280.2	278.0	-0.8%
PAT	151.7	156.7	-3.2%	179.4	177.6	-1.0%
Adj. BVPS (INR)	638.6	637.7	0.1%	723.0	723.1	0.0%

Source: Company, HSIE Research

BUY

CMP (as on 25 Jul 2025)	INR 2,125
Target Price	INR 2,310
NIFTY	24,837

KEY CHANGES	OLD	NEW
Rating	BUY	BUY
Price Target	INR2,325	INR 2,310
	FY26E	FY27E
EPS %	-3.2%	-1.0%

KEY STOCK DATA

Bloomberg code	KMB IN
No. of Shares (mn)	1,988
MCap (INR bn) / (\$ mn)	4,225/48,827
6m avg traded value (INR mn)	8,677
52 Week high / low	INR 2,302/1,679

STOCK PERFORMANCE (%)

	3M	6M	12M
Absolute (%)	(3.6)	12.6	19.7
Relative (%)	(6.5)	5.7	17.9

SHAREHOLDING PATTERN (%)

	Mar-25	Jun-25
Promoters	25.9	25.9
FIs & Local MFs	29.1	29.6
FPIs	32.7	32.3
Public & Others	12.3	12.2
Pledged Shares	-	-

Source: BSE

Pledged shares as % of total shares

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Sobha

Strong presales; profitability to pick up

Sobha Ltd (SDL) reported a strong quarterly presales growth in Q1FY26 at INR 20.7bn (+10.9%/+32.9% QoQ/YoY), mainly backed by its new launches. For FY26, SDL has guided a presales target of INR 100bn, which will be aided by new launches (40% in NCR itself). On operational front, due to Karnataka government-related changes on fee calculation, five of the project OCs were delayed, which led to a margin impact. This will eventually flow through in Q2FY26 and hence we anticipate strong recovery in Q2FY26, with sequential margin improvement expected in each subsequent quarter. On the growth front, SDL aims to launch 8msf in the rest of 9MFY26, with key projects across Gurgaon, Greater Noida, Pune, Chennai, Kerala, and Mumbai. Demand remains stable across major markets like Bengaluru, Kerala, and Gurgaon. Notably, the Greater Noida launch saw an 80% sell-through, with INR 8.30bn in sale value, reflecting strong market sentiment amidst limited supply. SDL is actively exploring both government and private land acquisition opportunities to expand its presence in Noida-Greater Noida. SDL has laid out plans to expand in the MMR market from FY26, ramp up its presence in Pune and NCR and consolidate in Bengaluru. Given the robust launch pipeline, strong balance sheet, and stable cashflows, we maintain BUY on SDL with TP of INR 2,459/sh.

- **Q1FY26 financial highlights:** Revenue INR 8.5bn (+33%/-31% YoY/QoQ, a 32% miss). EBITDA came in at INR 238mn (-57%/-75% YoY/QoQ, miss by 80%). EBITDA margin came in at 2.8% (-594/-479bps YoY/QoQ, vs. estimate of 9.6%). RPAT/APAT was INR 136mn (+125%/-67% YoY/QoQ, a miss by 76%). A miss on all fronts was largely due to delays in OC for five projects, which could have added over INR 6.5bn in revenue and INR 1.5bn in PBT. Adjusting for these one-time effects, EBITDA margin would have come at 12-13%, with the PAT at INR 1.27bn (vs. the reported INR 0.14bn and estimate of INR 559mn).
- **On track to achieve its presales guidance with robust launch pipeline ahead:** SDL reported a strong quarter with presales in value and volume at INR 20.7bn (+10.9%/+32.9% YoY/QoQ) and 1.4msf (+23.3%/-7.3% YoY/QoQ) resp. The average price realization was INR 14,395/sf (-9.7%/+21.5%, YoY/QoQ). SDL plans to launch 8msf worth INR 100bn in the remaining 9MFY26, with key projects spanning Gurgaon, Greater Noida, Pune, Chennai, Kerala, and Mumbai—part of a broader launch pipeline. To further expand its footprint in the Noida-Greater Noida region, the company is actively pursuing land acquisition opportunities, both through government and private channels.
- **Balance sheet strong; net cash position post rights:** Net debt decreased significantly post-rights issue and as of Q1FY26, SDL has a net cash position of INR 6.9bn (INR 6.3bn net cash in Q4FY25). At INR 10.2bn, gross debt marginally decreased from INR 11.3bn QoQ. The operating cash flow from completed and ongoing projects is expected at INR 110.9bn while that from forthcoming projects is at INR 70.8bn.

Consolidated financial summary (INR mn)

(INR mn)	1QFY26	1QFY25	YoY (%)	4QFY25	QoQ (%)	FY24	FY25	FY26E	FY27E
Net Sales	8,519	6,404	33%	12,406	-31%	30,969	40,386	47,025	53,366
EBITDA	238	559	-57%	941	-75%	2,770	2,942	6,318	11,988
APAT	136	61	125%	409	-67%	491	947	3,785	7,913
Diluted EPS	1.3	0.6	125%	3.8	-67%	5	9	35	74
P/E (x)						351	182	46	22
EV/EBITDA (x)						67	56	26	13
RoE (%)						2	3	8	15

Source: Company, HSIE Research

BUY

CMP (as on 25 Jul 2025)	INR 1,614
Target Price	INR 2,459
NIFTY	24,837

KEY CHANGES	OLD	NEW
Rating	BUY	BUY
Price Target	INR 2,459	INR 2,459
EPS Change %	FY26E	FY27E
	-	-

KEY STOCK DATA

Bloomberg code	SOBHA IN
No. of Shares (mn)	107
MCap (INR bn) / (\$ mn)	173/1,994
6m avg traded value (INR mn)	551
52 Week high / low	INR 2,070/1,075

STOCK PERFORMANCE (%)

	3M	6M	12M
Absolute (%)	28.6	42.0	(13.4)
Relative (%)	25.8	35.1	(15.1)

SHAREHOLDING PATTERN (%)

	Mar-25	Jun-25
Promoters	52.88	52.88
FIs & Local MFs	23.98	24.62
FPIs	8.91	8.09
Public & Others	14.23	14.40
Pledged Shares	-	-

Source: BSE

Pledged shares as % of total shares

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Rating Criteria

BUY: >+15% return potential

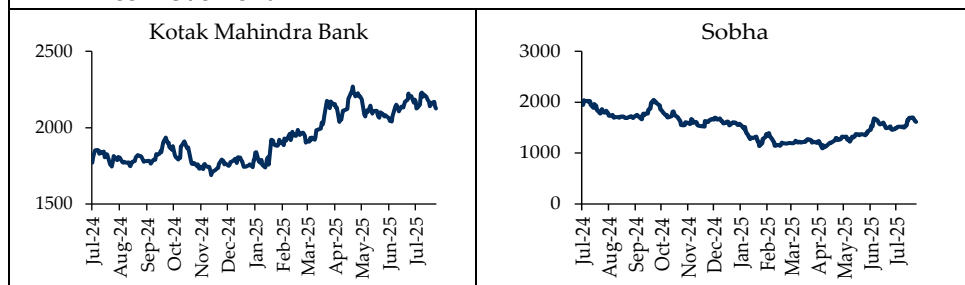
ADD: +5% to +15% return potential

REDUCE: -10% to +5% return potential

SELL: > 10% Downside return potential

Disclosure:

Analyst	Company Covered	Qualification	Any holding in the stock
Krishnan ASV	Kotak Mahindra Bank	PGDM	NO
Akshay Badlani	Kotak Mahindra Bank	CA	YES
Parikshit Kandpal	Sobha	CFA	NO
Jay Shah	Sobha	CA	NO
Aditya Sahu	Sobha	MBA	NO

1 Yr Price movement

Disclosure:

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